Before you hire a D2C agency: the checklist

Most founders pick an agency from the pitch deck. Use these questions instead, with every agency you talk to, including us. A good agency will answer all of them on the first call.

The five questions to ask first

Ask	A good answer	Red flag
1. Who exactly works on my account, and what else are they working on?	Named people, their experience, and how many accounts each one handles	A team photo. Senior people on the pitch, then a junior you have never met
2. Whose name are the ad accounts, pixels and analytics in?	Yours. You own every account and the agency gets access	The agency's business account, or "we'll transfer it later"
3. Can I see a real monthly report from another client, redacted?	A report built around cost per order, contribution margin or another business number	Reach, impressions and clicks, with no cost per acquisition
4. What is the notice period?	30 days or less on a first engagement	A 12-month lock-in asked for on the first call
5. Which one metric will we agree on for month one?	One number, such as cost per order or contribution after ads, agreed in writing	"Let's see how it goes" or a list of ten metrics

Money and contract

- [ ] You get a written quote that separates the agency fee from your ad spend before you sign
- [ ] You know how the fee scales: fixed retainer, a percentage of ad spend, or both
- [ ] Creative, landing pages and code made for you are yours to keep if you leave
- [ ] Exit terms say what is handed back, and in what state, when you leave
- [ ] An NDA is offered before you share revenue, margins or customer data
- [ ] You can speak to one current client in a similar category before you sign
- [ ] **India:** ask for a sample invoice. If the agency re-bills your media spend as principal, GST applies to the whole amount; billed correctly as a pure agent under Rule 33, the media cost is excluded

Does an agency make sense at your spend?

An agency has to earn back its own fee before it improves anything for you. If the monthly fee is a large share of your ad spend, an experienced freelancer, or one person in-house plus a freelancer, is often better value.

India rule of thumb: below roughly ₹75,000 to ₹1,00,000 a month in ad spend, a full agency retainer usually costs more than the improvement it can deliver. Between ₹1,00,000 and ₹3,00,000 a month, an agency starts to make sense. Above that, the bigger risk is having nobody senior watching a large budget. (Source: growthlife.in, September 2026, compiled from Indian agency pricing guides.)

If the agency is in another country

Hiring offshore can work well, but ask about the three things founders worry about most: communication, time zones and accountability.

- [ ] **Overlap hours:** which of your working hours they are online for, in writing
- [ ] **Updates:** a weekly written update, and an example of one
- [ ] **One senior contact:** a named person who answers for results and replies within one working day
- [ ] **Billing:** invoices in your currency, and clear payment terms
- [ ] **Contract:** which country's law applies, and how a dispute would be handled

Warning signs: walk away if you see these

- [ ] Guaranteed ROAS, guaranteed sales or guaranteed rankings. Nobody controls an ad auction
- [ ] Big headline numbers ("10x ROAS", "crores in revenue generated") with no client you can speak to, and no costs or margin behind them
- [ ] Ad accounts kept in the agency's name with no admin access for you
- [ ] Reports with impressions and reach but never cost per order
- [ ] A fee close to your whole ad budget
- [ ] Pressure to sign a long lock-in on the first call
- [ ] Projections built on another country's ad costs
- [ ] No answer to "what would make you tell us to stop spending?"

After you sign: the first 30 days

- [ ] Week 1: tracking audit, so everyone trusts the same numbers
- [ ] Week 2: a ranked list of what they will change first, and why
- [ ] Week 4: a review against the one metric you agreed, with what they would keep, stop and test next

Use this list on us too

Marginwise runs CRO, performance marketing, UI/UX and app development for D2C and Shopify brands in India, the US and the UK. Ask us all of the above on a free 30-minute call at **marginwise.in**, or message **@marginwise.in** on Instagram.

Agency pricing and spend thresholds: growthlife.in, "At what monthly ad spend does hiring a marketing agency actually start making sense in India?" (September 2026). This checklist is general guidance, not legal or tax advice; confirm contract and GST questions with your lawyer or CA.